

These were the same “helpful” bankers who forced them into bankruptcy. In the film *Maxed Out*, a bankruptcy judge was asked about all the cases he had reviewed, regarding how much of the credit card debt was principal versus the amount that was interest and fees. He stated that on average the amount due was triple the principal.

Jim and Juanita both lost their jobs and they had no emergency fund set aside to pay basic living expenses. They used their credit cards to pay the bills, and ended up borrowing from cards to pay on the others. “We started robbing Peter to pay Paul...” Juanita told the reporter in the documentary film that aired on PBS, *Secret History of Credit Cards*. The penalties and fees accumulated very quickly.

They had been good customers for years, but when they fell behind, they were not given the courtesy of kindness for all those years of good payments. They were hit with late fees and over the limit fees. The interest rate soared from 9% to 25%. As Jim said, “Forget the fact that you had the credit card for a number of years and were paying on it regularly, were never late. And as soon as you miss one payment, it’s like all deals are off.”

It did not take long, and they had \$80,000 of debt on ten credit cards. It became impossible to pay, and they filed bankruptcy. And Jim and Juanita still get credit card offers in the mail.

There Is Relief

There are literally millions of people like Jim and Juanita. They are looking for a way out. The sad part is that it did not have to come to this. If the banks would pull back their aggressive fees, perhaps they would not have to be worried about bankruptcies.

The good news is that there is hope for everyone, whether you have filed bankruptcy or not. With *Debt Cures*, you will see that you can eliminate your debt, or negotiate it away, and cut your rates to wipe out up to half or more of what you owe. Using these techniques could stave off the vultures and the need for bankruptcy.